



Shareholder conflicts, institutional quality, and tax avoidance

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Abstract

This study combines institutional theory with the logic of mixed gambles to examine how disproportionate voting rights of majority shareholders influence corporate tax behavior in the institutional context of China. We find support for our theoretical prediction that disproportionate voting rights create greater incentive for tax avoidance in China. Moreover, we leverage the heterogeneity in institutional strength across China to explicitly examine the role of institutions in shaping the relationship between disproportionate voting rights and tax avoidance. Our study extends agency research on minority shareholder expropriation by showing that when disproportionate voting rights co-exist with institutional voids, greater costs are imposed on minority shareholders and on society in the form of lower tax revenue for social investment. Practically, our findings can help inform the regulatory debates about the societal consequences of corporate structuring mechanisms (dual class shares and pyramid ownership) that enable disproportionate voting rights and give dominant shareholders outsized control over corporate resources. Our results also advance knowledge regarding the consequences of weaker institutional environments for minority shareholders and society more broadly.

Keywords agency conflicts · mixed gamble, corporate tax behavior · dominant shareholders · institutional theory

Introduction

The phenomenon of disproportionate voting rights and the associated conflict between shareholder groups has attracted the interest of both practitioners and researchers due to the perceived inequity of allowing dominant shareholders to have excessive control rights beyond their ownership rights (Martin et al., 2016). A parallel literature in the ethics domain explores corporate tax avoidance and the social implications of



reducing the tax base in the pursuit of corporate profits (Addison & Mueller, 2015; Boden et al., 2010; Dowling, 2014; Hoi et al., 2013; Killian et al., 2021; Shafer & Simmons, 2008; West, 2018). This study integrates these two streams of research to investigate the effect of excess control rights on corporate tax behavior in the institutional context of China.

Previous research on how disproportionate voting rights (and shareholder conflicts) affect corporate tax avoidance highlights the “entrenchment effect”: dominant shareholders who hold excessive voting rights over their ownership rights behave like entrenched managers protected from job loss in a classic principal-agent conflict setting (Bardhan et al., 2015). Entrenchment results in a tendency to shirk their responsibility to maximize firm value for minority shareholders. In the domain of corporate tax behavior, shirking by dominant shareholders means foregoing opportunities for tax avoidance from the perspective of minority shareholders. Consistent with the entrenchment perspective, McGuire et al. (2014) show that the presence of disproportionate voting rights arising from dual class shares leads to less corporate tax avoidance in the United States.

However, research based on the “institutional voids” framework has highlighted that the consequences of disproportionate voting rights may manifest differently in transition economies with weak institutions (Li & Qian, 2013). Different from the western context, the existence of institutional voids in China offers a new perspective that challenges the understanding of the entrenchment effect on tax avoidance as documented by McGuire et al. (2014). In this study, we draw on prospect theory’s mixed gamble logic to analyze how disproportionate voting rights influence corporate tax behavior in the institutional context of China.

The mixed gamble logic focuses on how decision makers weigh potential gains against potential losses when making decisions under uncertainty (Martin et al., 2020; McGuire et al., 2019). Tunneling” presents a unique decision context to analyze a mixed gamble. It occurs when dominant shareholders divert corporate wealth to their benefit, at the expense of minority shareholders, and is distinctly prevalent in China due to weak institutional protection of minority shareholders (Cumming et al., 2016; Jiang et al., 2010). Using the mixed gamble logic, prospective gains from the tax avoidance “gamble” disproportionately benefit the controlling shareholders in the form of increased cash flows available for diversion through tunneling. At the same time, any losses will be shared proportionately among all shareholders, thus limiting the risk of the gamble for controlling shareholders. Thus, we argue that disproportionate voting rights incentivize a more aggressive approach to tax avoidance in the institutional context of China as controlling shareholders are positioned to take advantage of the above-mentioned asymmetry.

We test our hypotheses using a sample of 1,201 non-state-owned public firms listed in China. Our analyses show that disproportionate voting rights are associated with more tax avoidance among non-state-owned Chinese firms. On average, the presence of disproportionate voting rights is associated with the cash effective tax rate (ETR) being 1 to 2% points lower than that of an otherwise similar firm. Consistent with our hypotheses leveraging institutional and mixed gamble logic, we show that the positive association between disproportionate voting rights and corporate tax

avoidance depends on the quality of institutional development at the sub-national level and the presence of control coalition.

This study contributes to the intersection of institutional theory and corporate governance research by providing new insights into the consequences of disproportionate voting rights. Our theory suggests that opportunities for one type of unethical corporate practice (exploitation of minority shareholders by dominant shareholders) can incentivize another type of potentially unethical corporate behavior in the form of aggressive tax avoidance in emerging markets with weak institutions. Disproportionate voting rights create stronger private incentives for tunneling, leading to greater benefit from tax avoidance (and ultimately lower cash ETR). This stands in contrast to developed markets where dominant shareholders tend to choose lower levels of tax avoidance in response to ethical risks and associated financial penalties arising from dual class shareholding (McGuire et al., 2014). Our moderating hypotheses offer further support for our idea – and nuance for our theory – by highlighting how the institutional context and power dynamics influence dominant shareholders' calculus when making corporate tax avoidance decisions.

Combining the domains of institutional theory with the mixed gamble logic offers an opportunity to advance knowledge regarding the consequences of disproportionate voting rights. Disproportionate voting rights are a phenomenon that is enabled by regulation (for example, regulation that allows for dual class shares and pyramid structures). However, governance research has offered little guidance regarding the broader implications of disproportionate voting rights – such as its impact on corporate tax avoidance practices – to inform the related regulatory debates.

We also advance research on minority shareholder expropriation by demonstrating how the power imbalance between dominant and minority shareholders can impose costs on society in general by incentivizing more aggressive corporate tax avoidance in institutional settings such as China. This builds on a growing body of stakeholder agency literature, which examines the implications of agent or principal opportunism for a broader set of stakeholders (e.g., Jones et al., 2016; Martin et al., 2020). Practically, our findings offer important insights to regulators by highlighting the costs imposed on minority shareholders and society more broadly, when disproportionate voting rights co-exist with institutional voids.

Theory & Hypotheses

Institutional theory and voids

Institutional theory offers a foundational lens for understanding how organizations respond to the rules, norms, and expectations of their broader institutional environments (DiMaggio & Powell, 1983; Filatotchev et al., 2013; Galleli & Amaral, 2025; Meyer & Rowan, 1977). In contexts with robust regulatory institutions, strong legal enforcement, and widely held norms of transparency, organizational behavior tends to conform to expectations that prioritize shareholder protection and equitable governance. However, in markets like China, where formal institutions remain partially developed or selectively enforced, institutional theory must be extended to account

for how firms operate in—and sometimes exploit—institutional voids (Battilana et al., 2009).

China presents a unique setting where institutional voids are particularly salient. Despite significant legal reforms, investor protection—especially for minority shareholders—remains limited due to weak enforcement, opaque corporate governance practices, and the dominance of state-affiliated or controlling blockholders in listed firms (Allen et al., 2005; Jiang & Kim, 2024; Zhao et al., 2024). In such an environment, the absence of reliable legal enforcement mechanisms enables majority shareholders to engage in value-extractive practices such as related-party transactions, earnings tunneling, or asset stripping, often at the expense of minority interests (Liu & Tian, 2012). Institutional theory explains how these behaviors can become normalized when they align with existing cultural-cognitive norms—such as guanxi networks, familial control, or hierarchical corporate traditions—which provide legitimacy to actions that would otherwise be viewed as exploitative in Western governance contexts (Allen et al., 2005). These norms substitute for formal mechanisms, creating informal logics of appropriateness that reinforce majority dominance.

The institutional voids literature complements this view by illustrating how firms in China not only adapt to but may also strategically leverage or perpetuate institutional gaps. For example, dominant shareholders may exploit regulatory ambiguity by lobbying local officials, leveraging political connections, or influencing board structures to entrench control and suppress dissent (Nee & Opper, 2012). This demonstrates how firms can act as institutional entrepreneurs, shaping the rules of the game to favor majority interests in a weakly institutionalized environment (Oliver, 1991; Battilana et al., 2009).

Corporate tax avoidance and agency problems

Tax avoidance is defined as actions taken to reduce a firm's tax payments relative to its pre-tax accounting income (Christensen et al., 2015; Dyreng et al., 2008; West, 2018). Firms change their tax-avoidance policies over time (Al-Hadi et al., 2022; Kim et al., 2011). This change can be actioned through use of accelerated depreciation, financial derivatives, hybrid financial instruments, depreciation policy, accounting for derivatives and deferral of residual tax on foreign income (e.g., Belz et al., 2017).

Prior research provides strong evidence that tax avoidance can have a material impact on profit and cash flow (Christensen et al., 2015). However, tax avoidance can negatively impact financial performance if penalties are levied due to excessive avoidance (Armstrong et al., 2015; Christensen et al., 2015; Zolotoy et al., 2021). For example, as Christensen et al. (2015) note, IRS levies from audit adjustments and penalties against corporations amounted to over \$28.9 billion in 2008. Graham et al. (2014) revealed that various tax avoidance risks in the United States – i.e., reputational, legal, and financial – account for four of the top five reasons for firms not undertaking a tax avoidance initiative. However, the calculus of dominant shareholders, who have the control rights to decide how aggressively the firm will pursue tax avoidance, is likely to differ in emerging markets (Cumming et al., 2016).

The study of tax avoidance in weaker institutional environments (with institutional voids) has been intersected with research examining the diversion of cash flow by dominant shareholders. Greater tax avoidance leads to greater cash flow which could be disproportionately diverted to dominant shareholders if the institutional context allows. Increased opacity created by complex tax avoidance activities can be used by insiders to mask and facilitate their expropriation of corporate resources through self-dealing (Desai & Dharmapala, 2006; Desai et al., 2007).

The hypothesis that tax avoidance activities are used by insiders to mask and facilitate expropriation from other shareholders is generally supported in emerging market contexts (Atwood & Lewellen, 2019; Bauer et al., 2020; Chan et al., 2016; Chen et al., 2010; Chung et al., 2019; Desai & Dharmapala, 2009; Kerr, 2019; Mironov, 2013). Yet, this theory doesn't gain support to the same degree in developed markets where institutions are stronger (Armstrong et al., 2015; Blaylock, 2016; Gallemore & Labro, 2015; Guedhami & Pittman, 2008; Rego & Wilson, 2012; Seidman & Stomberg, 2017).

The study of expropriation from minority shareholders is also referred to as the study of shareholder conflicts or principal-principal conflicts (Type II agency problems). In this literature, incentives faced by dominant/controlling shareholders are examined to see how that agency can be opportunistically exercised to achieve private benefits at the expense of minority/outside shareholders (e.g., Jiang & Peng, 2011; Martin et al., 2016; Rashid, 2016). In the context of tax avoidance, agency problems are also relevant in that shareholders benefit at the expense of other important stakeholders, such as society or community (Zolotoy et al., 2021). That research falls within the domain of stakeholder agency – the examination of how agency problems affect stakeholders other than shareholders (Jones et al., 2016). In either domain – examining principal-principal or principal-community conflict, there are ethical issues due to the perceived unfairness of one firm stakeholder (in this case, dominant shareholders) benefiting at the expense of another, due to the combination of information asymmetry and leveraging of control for private benefits.

In summary, our review of the above literature suggests that dominant shareholders have incentives to factor their outsized control rights (over corporate resources) into decision making regarding corporate tax avoidance. In the next section, we examine this calculus of tax avoidance decisions in more detail, incorporating a mixed gamble logic from behavioral agency theory to consider how dominant shareholders will assess the prospective gains and losses in the tax avoidance decision. But importantly, we also assess how that assessment is contingent on various other factors. We examine the roles of institutional quality and power dynamics in shaping dominant shareholders' calculus when making tax avoidance decisions. We do so in the context of China, as an emerging market that features weaker institutional environments.

Hypotheses development

Dominant shareholders achieve disproportionate voting rights over their ownership rights through a variety of mechanisms where local regulators allow, including pyramidal ownership structures, dual class shares and crossholdings (Cumming et al., 2016; Rajan & Zingales, 1995; Morck et al., 2005; Stulz, 2005). The presence of dis-

proportionate voting rights incentivizes dominant shareholders to pursue maximum firm cash flows even at the expense of minority shareholders because the control rights allow them to use information asymmetry (such as opacity in transfers of cash or profits) to pursue private benefits and divert corporate wealth away for personal gains. The greater the cash flow, the greater the incentive for dominant shareholders to adopt tactics that allow them to increase opacity and expropriate from minority shareholders. This problem is intensified in locations where the protection for investor rights is weak (Claessens et al., 2000, 2002; Dharwadkar et al., 2000; Dyck & Zingales, 2004; La Porta et al., 2000; Nenova, 2003; Shleifer and Wolfenzon, 2002; Stulz, 2005).

As noted above, one mechanism for increasing firm cash flows is tax avoidance, given lower tax payments directly increase free cash flows. However, tax avoidance comes with downside risk. Penalties are levied if tax policy is so aggressive that it breaches tax codes (Armstrong et al., 2015; Christensen et al., 2015; Cowx & Kerr, 2024; Graham et al., 2014). The cost of aggressive tax avoidance could also be reputational for the leaders of the organization (Wang et al., 2021). Hence, when making decisions relating to tax avoidance, dominant shareholders are making a decision with uncertain outcomes: there are potential gain and loss outcomes. If tax avoidance goes undetected and unpenalized, they realize the prospective gains (additional cash flow). However, the potential downside outcome includes financial penalties, loss of political capital and loss of personal reputations.

More generally, corporate decision making often has uncertain payoffs with prospective gain and loss outcomes (Martin et al., 2013; Tversky & Kahneman, 1992). Behavioral agency theory has leveraged the concept of “mixed gambles” to explore decision making with potential gain and loss payoffs in the context of ethical decision making (Martin et al., 2020). Deriving from prospect theory, when analyzing whether a decision maker will choose to proceed with “the gamble”, we must analyze the magnitude of prospective gains relative to prospective losses (Martin et al., 2013; McGuire et al., 2019). A meta-analysis of prospect theory research suggests that on average, a potential gain needs to be more than twice the magnitude of the prospective loss of equal probability, if the individual is going to be persuaded to accept the gamble (Kühberger, 1998). Hence, in the context of tax avoidance, we need to analyze factors that make the prospective gains greater or prospective losses smaller. Any factor likely to shift the calculus such that gains are greater relative to losses will make tax avoidance more likely.

We hypothesize that the presence of disproportionate voting rights is a factor that makes the prospective gains from tax avoidance greater in emerging markets. Emerging markets are characterized by greater use of tunneling practices. Tunneling involves moving resources or profits to a related entity so that dominant shareholders can take more than their legal share from a collection of related businesses (Cumming et al., 2016). Minority shareholders in emerging markets – such as China – often have few legal or market channels through which to take actions against corporate abuse by insiders. As a result, even highly transparent forms of tunneling can go unchecked for long periods (Jiang et al., 2010). In such an environment, tunneling opportunities are likely to increase the incentive for dominant shareholders to go in search of additional free cash flow, given they benefit disproportionately (Lo et al., 2010).

In summary, a tax avoidance decision can be considered a mixed gamble for the decision makers: weighing the prospective gains of that decision against the prospective losses if penalties are levied. Disproportionate voting rights influence the calculus in tax avoidance decisions because prospective gains due to tax avoidance are greater for the dominant shareholder if cash flows derived from the business can be diverted away for personal gains. Given that tunneling goes undisclosed for longer periods in emerging markets with weaker institutions (Jiang et al., 2010), dominant shareholders are likely to anticipate larger prospective gains from tax avoidance that they believe they can disproportionately benefit from. Hence, we hypothesize:

Hypothesis 1 The presence of disproportionate voting rights held by the largest shareholder is associated with higher levels of corporate tax avoidance.

It is important to note that in our development of Hypothesis 1, the connection between disproportionate voting rights and tax avoidance critically depends on weaker institutions that allow dominant shareholders to expropriate minority investors. If institutional protection of minority shareholders is stronger, insiders will face greater difficulty in benefiting disproportionately from increased cash flows. This greater difficulty will diminish the incentives for dominant shareholders to engage in more aggressive tax avoidance. In the language of mixed gambles, stronger institutional environments reduce the prospective gains derived from tax avoidance for dominant shareholders with disproportionate voting rights. This makes the gamble of tax avoidance less attractive.

For example, in regions with higher financial development, capital markets are more likely to detect controlling shareholders' misconduct, which may lead to stock price declines, tighter credit constraints, and consequently higher capital costs (Yang et al., 2023). More intense competition in capital markets may further increase the costs associated with such governance risks. In regions with stronger rule of law, minority shareholders receive a higher level of protection, making it more difficult for controlling shareholders to tunnel corporate resources (Jiang & Peng, 2011; Filatotchev et al., 2013; Zhao et al., 2024). At the same time, firms engaging in tax avoidance face greater legal risks (Cowx & Kerr, 2024). In addition to these two indicators closely related to shareholder conflicts, other factors of institutional development also strengthen competition among private firms and increase the costs of shareholder conflicts (Jiang & Kim, 2024).

In sum, we expect stronger institutions to change dominant shareholders' calculus of prospective gains relative to prospective losses (the mixed gamble calculus) in their tax avoidance decisions. China is characterized by overall weak institutions as well as substantial variations in institutional development across regions (Cull & Xu, 2005; Fan & Wang, 2006). We draw on the above logic to develop the following hypothesis:

Hypothesis 2 The positive relationship between disproportionate voting rights and corporate tax avoidance is weaker in regions with stronger institutional environments.

Another mitigating factor is the presence of a controlling coalition, which can potentially limit tunneling opportunities for dominant shareholders. A controlling coalition is a coalition in which control rights are distributed among several large shareholders and no single large shareholder can dominate the decisions of the firm without the agreement of other large owners (Young et al., 2008). Previous research points out that, when protection of minority investors is poor, dispersing control rights among several large shareholders can limit expropriation (Bennedsen & Wolfenzon, 2000; La Porta et al., 2000; Young et al., 2008; Jiang & Peng, 2011). This is because diversion of cash flows is more difficult and costly when the actions necessary to realize the diversion would require collaboration/collusion among members of the coalition. Collaboration is considered both costly and time consuming, thus reducing the net anticipated prospective gains extracted from higher levels of tax avoidance.

In sum, the costs associated with forming coalitions across shareholder groups add to the overall costs and reduce the expected gains anticipated from tax avoidance. This alters the mixed gamble in favor of less tax avoidance. As the prospective gains are instrumental in explaining why disproportionate voting rights incentivize dominant shareholders to proceed with tax avoidance, we hypothesize that the positive association between disproportionate voting rights and tax avoidance will be weakened by the presence of control coalitions (i.e. the largest shareholder holding less than 50% of voting rights). Said formally:

Hypothesis 3 The positive relationship between disproportionate voting rights and corporate tax avoidance is weaker when the largest shareholder holds less than 50% of voting rights.

Data

Sample

We obtain firms' financial statements and ownership information (the amount of voting/control rights and ownership rights held by the largest shareholder for each firm) from the database CSMAR, which covers all public firms listed in Shanghai and Shenzhen Stock Exchanges. CSMAR has been widely used in China-based studies. Our sample covers the period 2003–2024, during which time the ownership structure information (dominant shareholders' ownership rights and voting rights) required is available.

We restrict our sample to listed firms whose largest shareholder is not a governmental entity (referred to as non-SOEs in China). We exclude all state-owned enterprises (SOEs) as the state is, by definition, both the largest shareholder of an SOE and the recipient of the corporate tax paid. Thus, including SOEs in our sample would obfuscate the incentives of dominant shareholders and limit the generalizability of results. Following the literature, we exclude firms in banking and financial service industries. In addition, we require each firm in the sample to have non-missing observations for at least four years to filter outliers. Our final sample consists of 1,201

listed firms and 5,656 observations. All data cleaning and empirical analyses were conducted using Stata.

Variables

We use *Separate*, a dummy variable that indicates whether the control rights held by the largest shareholder exceed her cash-flow rights, to capture the presence of disproportionate voting rights. Following prior literature (Dyreng et al., 2008), we use the cash effective tax rate (ETR) to capture the level of tax avoidance: the lower the cash ETR, the higher the level of tax avoidance.¹ The cash ETR for firm i in year t is calculated as the amount of corporate tax paid by firm i during year t divided by firm i 's earnings before tax during year t .

We control for a set of firm-level characteristics that might affect the level of cash ETR. *ROA* is return on assets, calculated as net profit divided by total assets. *Leverage* is the leverage ratio, defined as the total of short-term and long-term debt divided by total book assets. *Size* measures the size of the firm, approximated by the natural logarithm of total assets. *Growth* is the growth rate of total assets, which proxies for investment opportunities. *Payout* is the ratio of dividend payout in earnings. *Statutory Rate* is the statutory corporate income tax rate the firms are subject to.² Refer to Table 1 for further details in variable definitions.

The testing of H2 requires measures of institutional quality across Chinese provinces.³ To measure the institutional environment of each province, we use the index of general marketization developed by Fan et al. (2001), Fang and Zhao (2011) and Fan et al. (2011).⁴ The index was published by the National Economic Research Institute (NERI) in China and has been widely used by researchers studying Chinese regional economics (Fang & Zhao, 2011). The NERI index has become the primary quantitative operationalization in the literature that uses the institutional voids framework to study the link between provincial-level institutional environment to firm-level outcomes in China. (Fan et al., 2018).

A higher value of the Marketization Index indicates a more market-orientated environment overall. The overall index represents the aggregation of five component index, which captures different aspects of marketization. Our study uses both the overall Marketization Index and two sub-indices that are critical to our research setting. The Financial Development Index indicates quality of the financial institu-

¹ Dyreng et al. (2010) point out that the two standard measures (cash ETR and GAAP ETR) capture two possible objectives of corporate tax policies. Cash ETR is the appropriate measure of tax avoidance when the objective is to reduce the actual cash taxes paid by the firm, which is consistent with the focus of our study. GAAP ETR, on the other hand, is concerned about reducing tax expense for financial accounting purposes.

² There are considerable variations in the statutory income tax rate across Chinese firms as Chinese tax laws allow favorable tax treatments based on a wide range of conditions.

³ Mainland China has 31 provincial-level jurisdictions, including 22 provinces, five autonomous regions, and four directly controlled municipalities. The term "province" in this paper is used in a broad sense to refer to all types of provincial-level jurisdictions.

⁴ The indexes were first compiled in 2001 and updated annually until 2011. We use the 2011 data for all subsequent years from 2012 to 2024.

Table 1 Variable definitions and summary statistics

Variables	Obs.	Mean	Std. Dev.
Cash ETR	5,656	0.292	0.157
Separate	5,656	0.649	0.477
Control rights	5,656	0.366	0.151
Ownership rights	5,656	0.292	0.157
ROA	5,656	0.062	0.046
Lev	5,656	0.186	0.143
Growth	5,656	0.181	0.265
Size	5,656	21.880	1.234
Statutory	5,656	0.200	0.066
Payout	5,656	0.276	0.304

Variable definitions, *Cash ETR* cash effective tax rate is calculated as cash tax paid divided by earning before tax. Cash tax paid is calculated as the total corporate tax expense adjusting for changes in net deferred tax liabilities and unpaid taxes. Earning before tax is obtained from the income statement. Cash ETR is truncated to be within [0,1]. *Separate*, a dummy variable that equals 1 if the control rights (voting share) of a company's largest shareholder exceed her ownership rights (share of ownership). *ROA*, return on assets, which is measured as profit before tax as a ratio to total assets. *Lev*, total of short-term and long-term debt divided by total assets. *Growth*, growth rate of total assets. *Size*, the natural logarithm of total assets, a proxy for firm size. *Payout*, stock payout rate calculated as cash payout per share divided by earnings per share. *Statutory*, the statutory corporate income tax rate, which varies across firms and over time due to the various favorable tax treatments permitted under Chinese tax laws based on a wide range of conditions

tional environment, as reflected in the development of non-state banks and a more competitive financial market. The Rule of Law index indicates quality of the legal institutional environment, as reflected in the development of legal and intermediary institutions.

Empirical Analyses & Results

Descriptive statistics

Table 1 provides summary statistics for our sample of Chinese firms listed in Shanghai and Shenzhen Stock Exchanges during the period of 2003–2024. Table 1 reveals that disproportionate voting rights (the largest shareholder holds more control rights than cash flows rights) are present among 64.9% of our sample firms. On average, the cash ETR for our sample firms is around 0.29.

Hypotheses testing

We test Hypothesis 1 by analyzing the effect of the presence of disproportionate voting rights on cash ETR. Specifically, we estimate the regression equation as specified below.

$$\begin{aligned} CashETR_{i,t} = & \alpha + \beta Separated_{i,t} + YX'_{i,t} + \delta_0 Year\ dummies \\ & + \gamma_1 Province\ dummies + \gamma_2 Industry\ dummies + \epsilon_{i,t} \end{aligned} \quad (1)$$

$Separated_{i,t}$ equals 1 if firm i 's largest shareholder's control rights exceed her cash-flow rights in year t , and 0 otherwise. $X'_{i,t}$ is a vector of firm characteristics including return on assets, firm size, leverage, growth rate of sales, the payout-earnings ratio, and the firm-specific statutory corporate tax rate. $\epsilon_{i,t}$ is the unobserved firm-level shocks that affect the cash effective tax rate. In addition, we control for year, industry, and province fixed effects in these estimations.

The regression results are reported in Panel A of Table 2. Hypothesis 1 predicts that the presence of disproportionate voting rights is associated with higher levels of corporate tax avoidance. As reported in Table 2 Panel A, the coefficient on the dummy variable *Separate* is negative and statistically significant. Recall that the dependent variable is the cash ETR: lower the cash ETR, higher the level of tax avoidance. Therefore, a negative coefficient on *Separate* indicates that the presence of disproportionate voting rights leads to lower tax payments or higher levels of tax avoidance, thus supporting H1. The effect (-0.011) is statistically significant at 5% level, suggesting that the presence of disproportionate voting rights is associated with the cash ETR being about 1% point lower than an otherwise similar firm.

Dyreng et al. (2008) point out that annual ETR may be subject to temporary shocks within the firm and hence may not reflect the true level of tax avoidance. To check the robustness of our primary results, we construct the three-year average of annual cash ETR and use it as an alternative proxy for the level of tax avoidance. We define the three-year average cash ETR as follows

$$\overline{\text{CashETR}}_{i,t} = \frac{\sum_{j=t-2}^t \text{Corporate tax paid}_{i,j}}{\sum_{j=t-2}^t \text{Earnings before tax}_{i,j}}$$

In addition to long-run ETR, we also construct the long-run counterparts of the control variables in Eq. (1) by taking the three-year average of these variables. For the explanatory variable of our interest, we construct a new dummy variable $\overline{Separated}_{i,t}$ which equals 1 for firm i in year t if the largest shareholder of the firm holds more control rights than cash flows rights in any of year t , $t-1$, and year $t-2$.

Panel B of Table 2 reports the results based on the long-run variable model. The number of observations is lower in Panel B than in Panel A because we require all variables to have non-missing observations for at least three continuous years to perform analyses using long-run variables. As reported in Panel B, the estimated coefficient on *Separate* is -0.022 and statistically significant at 1% level, suggesting that the presence of disproportionate voting rights is associated with a significantly lower long-run cash ETR (and thus higher levels of tax avoidance).

Overall, the results reported in Table 2 show that the presence of disproportionate voting rights on average is associated with the cash ETR being 2–3% points lower. The similarity in the results based on annual and long-run ETR indicates that our findings are unlikely due to temporary shocks within firms. Given this consistency of the results, we use annual ETR as the dependent variable in all subsequent analyses to preserve the sample size.

We test Hypothesis 2 by exploiting the heterogeneity of institutional quality across provinces. Specifically, we perform regression analysis based on Eq. (2) where the

Table 2 Disproportionate Voting Rights and Cash ETR

Dep Variable Annual Cash ETR	Coefficient & P value
Panel A: Test of H1 based on Annual Cash ETR	
Separated	-0.011** (0.037)
ROA	-0.946*** (0.000)
Leverage	-0.003 (0.891)
Growth	-0.052*** (0.000)
Size	0.007** (0.020)
Payout	0.052*** (0.000)
Statutory Rate	0.331*** (0.000)
Year dummies	Yes
Province dummies	Yes
Industry dummies	Yes
Number of groups	1,201
Observations	5,656
R-squared	0.207
Panel B: Test of H2 based on Long-run Cash ETR	
Dep Variable Long-run ETR	Coefficient & P-value
Separated	-0.022*** (0.003)
ROA	-0.507*** (0.000)
Leverage	-0.042 (0.129)
Growth	-0.029** (0.028)
Size	0.008** (0.029)
Payout	0.050*** (0.001)
Statutory Rate	0.366*** (0.000)
Year dummies	Yes
Province dummies	Yes
Industry dummies	Yes
Observations	1,683
R-squared	0.435

Table 2 presents the results from the testing of H1 (main effect of disproportionate voting rights). Panel A reports the regression results using annual data. P-values (based on standard errors robust to heterogeneity and clustered over firms) are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively (two-tailed tests). $\text{CashETR}_{i,t} = \frac{\sum_{j=t-2}^t \text{Corporate tax paid}_{i,j}}{\sum_{j=t-2}^t \text{Earnings before tax}_{i,j}}$

Separated_{i,t} equals 1 for firm i in year t if the largest shareholder of the firm holds more control Other explanatory variables are constructed by taking the three-year average of the annual values

institutional quality indicator for the province and its interaction with the dummy variable *Separated* are added to Eq. (1) after removing the province dummies.⁵ The Moderator in Eq. (2) represents the Marketization Index, the Financial Development Index, and the Rule of Law Index as described in the METHODS section.

$$\begin{aligned} \text{CashETR}_{i,t} = & \alpha + \beta_0 \text{Separated}_{i,t} + \beta_1 \text{Moderator}_{i,t} \times \text{Separated}_{i,t} \\ & + \beta_2 \text{Moderator}_{i,t,y} X_{i,t} + \delta_0 \text{Year dummies} + \delta_1 \text{Province dummies} \\ & + \delta_2 \text{Industry dummies} + \varepsilon_{i,t} \end{aligned} \quad (2)$$

The results for the testing of H2 are reported in the first three columns of Table 3. As reported, the coefficients on the interaction terms of each of the three indicators of institutional quality and *Separate* are consistently positive and significant, indicating that more market-orientated environment, higher degree of financial development, and stronger legal institutions all weaken the negative association between control-ownership separation and cash ETR. Recall that lower ETR indicates higher levels of tax avoidance. Thus, the results show that the positive link between principal-principal agency conflicts and corporate tax avoidance is more pronounced in poorly developed regions and more mitigated in regions with stronger institutional environments, thus supporting H2.

Hypothesis 3 predicts that the positive relationship between disproportionate voting rights and risk-taking in the form of tax avoidance will be weakened by the presence of control coalitions. To test this hypothesis, we estimate Eq. 2 using Coalition as the moderator. Coalition is a dummy variable that indicates the presence of a control coalition (where the largest shareholder holds less than 50% of control rights).

The last column of Table 3 reports the results of the regression analysis that tests Hypothesis 3. The coefficient of interest is β_1 (the coefficient on the interaction term in Eq. 2), which captures the mitigating effect of the control coalitions. As reported in Table 3, β_1 is positive and statistically significant, indicating that the negative association between the presence of disproportionate voting rights and cash ETR is mitigated by control coalitions. The results indicate that, consistent with the prediction of H3, the positive link between principal-principal agency conflicts and corporate tax avoidance is weakened by the presence of control coalitions.

Overall, our empirical analyses using Chinese data show that the agency conflict between dominant and minority shareholders, as reflected in the presence of disproportionate voting rights, is associated with more risk-taking in the form of higher levels of corporate tax avoidance. However, further analysis indicates that this effect can be muted/reversed as the institutional environment improves, presumably because the stronger investor protection in more developed regions helps limit tunneling opportunities. In addition, we show that firm-level factors that affect the cost of tunneling (the presence of control coalitions) and the political background of executives can also mitigate the positive link between disproportionate voting rights and tax avoidance level.

⁵ In testing H2, we remove the province dummies because the institutional environment indicators are defined at the provincial level, and most of their variation is reflected in differences across provinces.

Table 3 Role of the Institutional Environment and Control Coalitions

Dep. Variable:	Institutional Environment		Control Coalitions	
	(1)	(2)	(3)	(4)
<i>Cash ETR</i>				
Seperated	-0.071*** (0.002)	-0.084** (0.010)	-0.034*** (0.006)	-0.031*** (0.002)
Marketization × Seperated	0.007*** (0.004)			
Financial Development × Seperated		0.007** (0.017)		
Rule of Law × Seperated			0.002** (0.018)	
Coalition × Seperated				0.026** (0.022)
Marketization	-0.002 (0.257)			
Financial Development		-0.002 (0.528)		
Rule of Law			0.001 (0.107)	
Coalition				-0.019** (0.033)
ROA	-0.940*** (0.000)	-0.940*** (0.000)	-0.934*** (0.000)	-0.951*** (0.000)
Leverage	-0.002 (0.923)	-0.002 (0.942)	-0.002 (0.933)	-0.003 (0.895)
Growth	-0.057*** (0.000)	-0.057*** (0.000)	-0.057*** (0.000)	-0.051*** (0.000)
Size	0.005 (0.160)	0.005 (0.153)	0.005 (0.129)	0.007** (0.022)

Table 3 (continued)

Dep. Variable:	Institutional Environment		Control Coalitions	
Payout	0.048*** (0.000)	0.048*** (0.000)	0.052*** (0.000)	0.052*** (0.000)
StatutoryRate	0.358*** (0.000)	0.352*** (0.000)	0.359*** (0.000)	0.330*** (0.000)
Year dummies	Yes	Yes	Yes	Yes
Province dummies	No	No	No	Yes
Industry dummies	Yes	Yes	Yes	Yes
Observations	5,009	5,009	5,009	5,009
R-squared	0.214	0.214	0.213	0.208

Table 3 reports the results from the testing of H2 and H3. The first three columns report the results from the testing of H2 (moderating effect of the institutional environment). Three indicators of institutional quality are used: Marketization, Financial Development, and Rule of Law. The last column reports the results from the testing of H3 (moderating effect of the presence of control coalitions). The dummy variable Coalition equals 1 if the largest shareholder holds less than 50% of control rights. P-values (based on standard errors robust to heterogeneity and clustered over firm) are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively (two-tailed tests)

Robustness checks

We perform additional analyses to check the robustness of our findings by addressing alternative explanations for the positive relationship between the presence of disproportionate voting rights and the level of corporate tax avoidance.⁶ The first alternative explanation we consider is the effect of the overall level of the dominant shareholder's equity ownership. To address this possibility, we directly control for the equity percentage held by the dominant shareholder as an additional explanatory variable in our regression analysis for H1. We continue to find a significant and negative coefficient on the dummy variable *Separate*. Moreover, the estimated coefficient on the variable *Equity* is not statistically different from zero. Thus, there is no evidence that equity holdings influence the level of tax avoidance in our sample.

Next, we perform analyses to address the potential endogeneity issue: there might be unobserved or unaccounted-for firm characteristics driving both the presence of control rights and the level of tax avoidance. Following Gompers et al. (2010), we use firm age, the pre-IPO profitability, and firm size as IV variables to conduct the instrumental variables (IVs) estimations. We obtain similar results as before: the dummy variable *Separate* is negatively and significantly correlated with cash ETR.

Following Gompers et al. (2010), we use firm age, the pre-IPO profitability, and firm size as IV variables to conduct the instrumental variables (IVs) estimations. In the first-stage regression, the instruments pass the Hansen J test and underidentification test (Hansen J test p-value: 0.12; F-statistics: 5.19). In the second-stage regression, we obtain similar results as before: the dummy variable *Separate* is negatively and significantly correlated with cash ETR.

To address the concern of weak instruments, we further conducted weak-instrument-robust inference and found that the Anderson-Rubin Wald test remains significant, with a p-value of 0.009. This suggests that, even if the instruments may not be particularly strong, the IV results still provide some support for our main conclusion. We have explicitly acknowledged this issue in the limitations section of the manuscript.

Discussion

This study leverages institutional theory and the logic of mixed gambles to investigate how disproportionate voting rights shape corporate tax behavior in emerging markets. Our findings have revealed that: (1) the presence of disproportionate voting rights is positively associated with the level of corporate tax avoidance in China; and (2) this relationship is weaker with better institutional development at the subnational level, and in the presence of a control coalition (the largest shareholder having less than 50% voting rights).

⁶ All the robustness analyses are based on a reduced sample due to additional data requirements. The results of the robustness analyses are available upon request.

Implications

Our study makes several contributions. First, we advance institutional literature exploring antecedents to tax avoidance and highlight how these antecedents can be shaped by corporate governance and the institutional environment in which a firm operates. As tax avoidance deprives the government of funds that can deliver social services or public infrastructure, there is an ongoing debate regarding the extent to which deliberate corporate tax avoidance should be considered unethical (Dowling, 2014; Hasseldine & Morris, 2013; Sikka, 2010, 2013; West, 2018). We offer the new insight that the calculus associated with tax avoidance leads to the practice becoming more attractive for dominant shareholders when another unethical phenomenon is in place: the presence of disproportionate voting rights, which enables greater exploitation of minority shareholders by dominant shareholders. More specifically, we offer a novel theoretical foundation – mixed gambles – for predicting when disproportionate voting rights are likely to be associated with more aggressive tax avoidance.

Further, we advance the growing stream of stakeholder agency literature, which provides a basis for explaining inequitable outcomes among the various groups impacted by firm operations (Gibson, 2000; Heath, 2006; Martin et al., 2020; Shankman, 1999). In the context of corporate tax avoidance, reduced tax receipts for government have significant social implications (West, 2018; Zolotoy et al., 2021). Tax avoidance entails a reduction in a business's contribution to society, leading to free riding on other taxpayers while still deriving the benefit of public goods (Slemrod, 2007). Our study adds to this stakeholder agency literature by showing that a power imbalance among shareholders – that allows dominant insiders to exploit outside investors – can also impose negative externalities on society in the form of lower tax revenue. The negative social outcomes of tax avoidance are well documented (Muller & Kolk, 2015). Tax avoidance is also not uniformly pursued, raising questions as to why this is the case (Desai & Dharmapala, 2006; Hanlon & Heitzman, 2010). By examining tax avoidance as an outcome of disproportionate voting rights, we extended the study of disproportionate voting rights beyond the study of principal-principal conflict or the consequence for minority shareholders and into a broader analysis of societal impact. In doing so, we further extend stakeholder agency literature that has moved beyond the purely shareholder-centric perspective to examine a broader set of stakeholders when studying corporate decision making generally (e.g., Avetisyan & Ferrary, 2013; Jo & Harjoto, 2012) and tax avoidance more specifically (Zolotoy et al., 2021).

Our findings can help inform the regulatory debates about the societal consequences of corporate structuring mechanisms (dual class shares and pyramid ownership) that enable disproportionate voting rights and give dominant shareholders outsized control over corporate resources. Dual classes of shares are allowed in some regulatory jurisdictions but not others, highlighting the controversial nature of this regulatory phenomena (Gurrea-Martinez, 2021). Previous corporate tax research has paid scant attention to the role of institutional settings (Boden et al., 2010; Gracia & Oats, 2012; Killian et al., 2021). By demonstrating that the effect of shareholder con-

licts on corporate tax behavior critically depends on the institutional environment, we hope to inform regulatory debates by highlighting an important form of potential societal costs that can arise from not regulating dual class shares or pyramid structures in emerging markets: greater tax avoidance and reduced tax revenue.

Limitations and future directions

We acknowledge that our empirical setting has restricted our study to the context of Chinese firms and tax avoidance as a risk proxy. While part of our contribution derives from exploring risk-related agency conflicts in the world's second largest economy, future research could further explore firm principals' risk behavior using alternative proxies for risk-taking and in other empirical contexts. It would be interesting to empirically examine the long-term consequences created by tax avoidance (e.g. increased regulatory scrutiny) to further understand the dimension and extent of risk associated with tax avoidance activities in different institutional environments. Future research could also examine implications of disproportionate voting rights for other important firm stakeholders, such as employees or suppliers. We also acknowledge that our causal identification of the relationship between disproportionate voting rights and tax avoidance remains limited. Future research could consider exploiting policy changes as exogenous shocks to disproportionate voting rights, thereby providing a stronger quasi-natural experimental setting to identify the causal effect.

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Declarations

Conflict of interest Hui Zhou (h.zhou@auckland.ac.nz) declares she has no conflict of interest. Jing Xing (jing.xing@sjtu.edu.cn) declares she has no conflict of interest. Geoffrey Martin (g.martin@mbs.edu) declares he has no conflict of interest. Iftekhar Hasan (ihasan@fordham.edu) declares he has no conflict of interest. Li Feng (li.feng@auckland.ac.nz) declares he has no conflict of interest.

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